in its rational way, had responded. Not at fault were the speculation and its inevitable aftermath; rather, it was those deeper, wholly external influences. Professional economists were especially cooperative in advancing and defending this illusion. A few, when dealing with the history, still are.

They were not, however, completely persuasive. Some steps were taken—the creation of the Securities and Exchange Commission; restraints on holding-company pyramiding, which had been particularly great in electric utilities; the control of margin requirements—and these were not without value. But, as ever, the attention was on the instruments of speculation. Nothing was said or done or, in fact, could be done about the decisive factor—the tendency to speculation itself.

The crash in 1929, however, did have one therapeutic effect: it, somewhat exceptionally, lingered in the financial memory. For the next quarter of a century securities markets were generally orderly and dull. Although this mood lasted longer than usual, financial history was not at an end. The commitment to Schumpeter’s mania was soon to be reasserted.